

**Jami Dick dba JBD CONSTRUCTION, et al v
LISA SAHLMAN, et al**

24CV47140

**U S BANK, N.A.'S AMENDED MOTION FOR INTERPLEADER
AND ATTORNEY FEES;
ATTORNEY CHANNEVEERAPPA'S MOTION TO WITHDRAW**

This action arises out of a construction project dispute between Jami Dick dba JBD Construction and Rod Scott ("Plaintiffs") and Lisa Sahlman and Milton Brown ("Defendants.") U.S. Bank National Association ("U.S. Bank") is the lender of the construction funds used to finance the construction project at issue in the lawsuit.

Now before the Court are U.S. Bank's Motion for Interpleader and Plaintiff's Counsel's Motion to Withdraw.

U.S. Bank's Motion for Interpleader and Attorney's Fees:

I. Facts

On May 2, 2020, Defendants entered into a written agreement with Plaintiffs to build a house for Defendants on the Property. (Complaint ¶ 12.) The Agreement provides a contract price of \$496,900.00 to be paid through disbursements from a construction loan obtained by the Defendants at US Bank. (*Id.* ¶ 13.) On or about July 1, 2020, Defendants obtained a construction loan with US Bank in the amount of \$ 496,900.00 for the purpose of financing the construction wherein the Plaintiffs were identified as the contractor for the project. (*Id.* ¶ 14.) On or about March 8, 2022, Plaintiffs prepared a Construction Loan Disbursement Request/Authorization., a US Bank form used to make a draw against the construction loan for \$52,650.00 (the "Funds.") (*Id.* ¶ 16.) Defendants refused to authorize payment of the Funds or to allow Plaintiffs back onto the worksite. (*Id.* ¶17.)

II. Legal Standard and Analysis

The Motion is brought pursuant to the interpleader statutes at Code Civil Procedure sections 386 and 386.5. Interpleader is a procedure whereby a person holding money or personal property to which conflicting claims are being made by others, or may be made, can join the adverse claimants and force them to litigate their claims among themselves. (Code Civ. Proc., § 386, subd. (b); *Hancock Oil Co. v. Hopkins* (1944) 24 Cal.2d 497, 508.) This is typically brought by a separate complaint or cross-complaint in interpleader. (Code Civ. Proc. § 386(b) [“Any person, firm, corporation, association or other entity against whom double or multiple claims are made, or may be made, by two or more persons which are such that they may give rise to double or multiple liability, may bring an action against the claimants to compel them to interplead and litigate their several claims.”].)

Pursuant to Code Civil Procedure section 386.5:

Where the only relief sought against one of the defendants is the payment of a stated amount of money alleged to be wrongfully withheld, such defendant may, upon affidavit that he is a mere stakeholder with no interest in the amount or any portion thereof and that conflicting demands have been made upon him for the amount by parties to the action, upon notice to such parties, apply to the court for an order discharging him from liability and dismissing him from the action on his depositing with the clerk of the court the amount in dispute and the court may, in its discretion, make such order.

“Interpleader is an equitable proceeding by which an obligor who is a mere stakeholder may compel conflicting claimants to money or property to interplead and litigate the claims among themselves instead of separately against the obligor. ... After admitting liability and depositing the money or property with the court, the obligor is discharged from liability and freed from the necessity of participating in the litigation between the claimants.” (*Southern California Gas Co. v. Flannery* (2014) 232 Cal.App.4th 477, 486.)

“The true test of suitability for interpleader is the stakeholder's disavowal of interest in the property sought to be interpleaded, coupled with the perceived ability of the court to resolve the entire controversy as to entitlement to that property without need for the stakeholder to be a party to the suit.” (*Ibid.*)

The interpleader process involves a two-step procedure. (*City of Morgan Hill v. Brown* (1999) 71 Cal.App.4th 1114, 1126.) First, the Court determines whether the moving party has the right to interplead the funds or property. (*Id.* at p. 1126-27.) If that right is sustained, then an interlocutory decree is entered which requires the defendants to

interplead and litigate their claims to the funds.” (*Southern California Gas Co.*, supra 232 Cal.App.4th at 487.) Thus, the interpleader proceeding is traditionally viewed as two lawsuits in one. The first between the stakeholder and the claimants to determine the right to interplead the funds and the second dispute to be resolved is who is to receive the interpleaded funds. [Citations.]” (*Dial 800 v. Fesbinder* (2004) 118 Cal.App.4th 32, 42–43.)

In support of its motion, U.S. Bank provides a declaration from Tammy Zbichorski as an “authorized representative” of U.S. Bank. (Declaration of Tammy Zbichorski (“Zbichorski Decl.”) ¶ 1.) Ms. Zbichorski states that U.S. Bank desires to deposit the Funds with the Court (*Id.* ¶ 2) and that U.S. Bank “takes no position on whether Plaintiffs or Defendants are entitled to the Funds and faces potential double liability if they release the Funds to either disputing party while the Funds are in dispute.” (*Id.* ¶ 3.) Ms. Zbichorski further avers that “U.S. Bank is disinterested and stands ready to deposit the funds with the Court.” (*Id.* ¶ 5.)

In their opposition, Plaintiffs take issue with U.S. Bank’s failure to file an interpleader action, as well as the failure to provide an affidavit that gives the basis for U.S. Bank’s position, articulates the amount at issue, and affirmatively disavow any interest. Plaintiffs also argue that the claims against U.S. Bank go beyond their status as simply the holder of the funds at issue. Specifically, Plaintiffs assert that U.S. Bank holds a loan to Defendants, secured by the Property, which protects U.S. Bank against the Defendants’ refusal to release the funds. (Opp. p. 3.) Plaintiffs’ complaint also alleges that U.S. Bank itself engaged in negligent and fraudulent behavior.

The Court finds that U.S. Bank has not followed all the requirements of the interpleader process. First, U.S. Bank has not provided an affidavit which describes Ms. Zbichorski’s relationship to U.S. Bank, her role or knowledge of the Funds, nor the amount of funds to be deposited with the Court. Second, U.S. Bank has not deposited or delivered the funds at issue to the Clerk of Court. Finally, the affidavit does not affirmatively state that U.S. Bank is “a mere stakeholder with no interest in the amount or any portion thereof.” (Code Civ. Proc. § 386.5.)

Accordingly, and for all the foregoing reasons, the Motion for Interpleader is **DENIED**, without prejudice.

Attorney Channeveerappa’s Motion to Withdraw:

Counsel’s Declaration meets the statutory requirements and the Motion to Withdraw is **GRANTED**.

The clerk shall provide notice of these rulings to the parties forthwith. No further formal Order is required on the Motion for Interpleader. The Court intends to sign the submitted Order on the Motion to Withdraw..

HUGHES v FCA US, LLC, et al

24CV47640

DEFENDANT FCA'S MOTION FOR JUDGMENT ON THE PLEADINGS

This case involves a dispute over a vehicle warranty dispute between Andrew Hughes ("Plaintiff") and FCA US, LLC ("Defendant"). Now before the Court is Defendant's motion for judgment on the pleadings.

I. Facts

On or about September 21, 2022, Plaintiff entered into a warranty contract with Defendant regarding a 2022 Ram 1500 (hereafter "Vehicle"), manufactured and/or distributed by Defendant FCA. (Complaint ¶ 11, Ex. A.) The warranty was a "bumper to bumper warranty." (*Ibid.*) Plaintiff has primarily used the Vehicle for personal use. (*Id.* ¶ 12.) Within the applicable express warranty period, however, defects and nonconformities to warranty manifested themselves, including but not limited to, engine defects, transmission defects, and electrical defects.

Plaintiff alleges that Defendant knew since prior to Plaintiff purchasing the Vehicle, that the 2022 Ram 1500 vehicles equipped with the 5.7L engine had one or more defects that can result in loss of power, stalling, engine running rough, engine misfires, failure or replacement of the engine (the "Engine Defect"). (Complaint ¶ 19.) Plaintiff alleges that the Engine Defect is a safety concern because it can suddenly affect the driver's ability to control the vehicle or cause a non-collision vehicle fire, among other safety hazards. (*Id.* ¶ 20.)

II. Legal Standard

A motion for judgment on the pleadings serves the same function as a demurrer but is made after the time for demurrer has expired. (Code Civ. Proc., § 438(c)(2); *Cloud v. Northop Grumman Corp.* (1998) 67 Cal.App.4th 995, 999.) Except as provided by statute, the rules governing demurrers apply. (*Id.*) The court must accept as true the